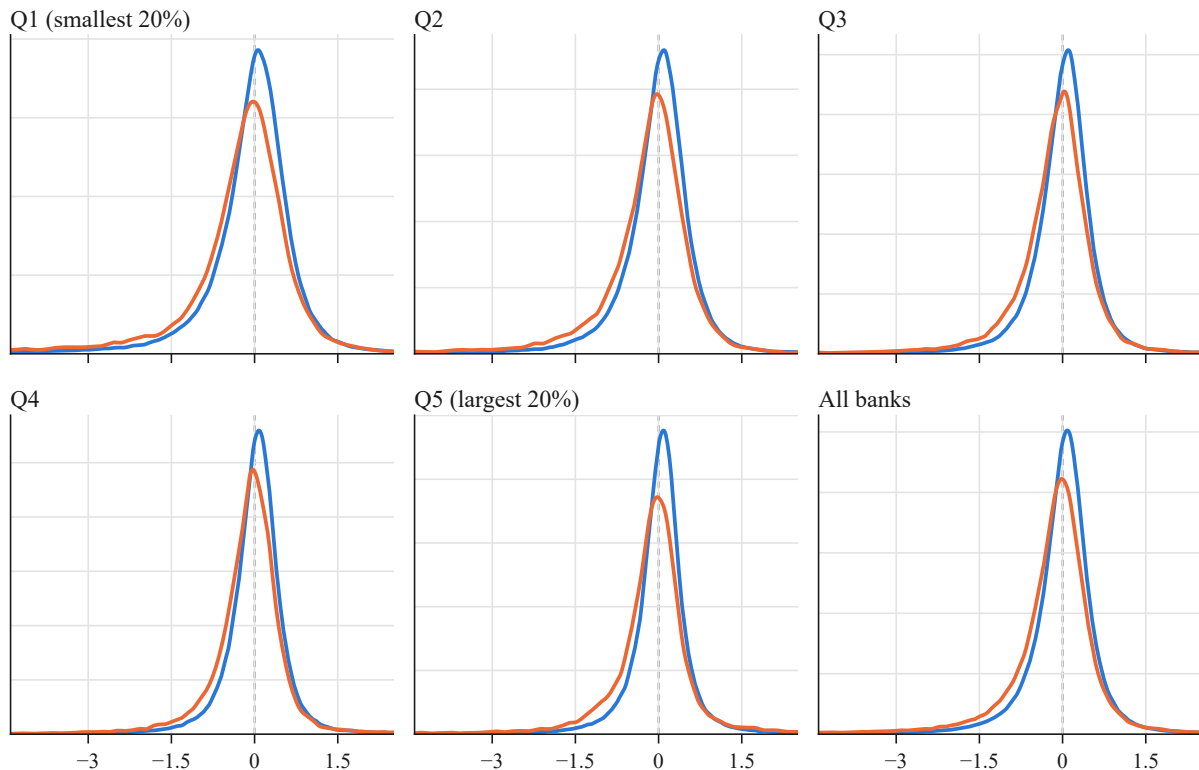


Change in equity capital to assets (pp)

Expansion

Recession



Note: Gaussian kernel densities, Silverman bandwidth, estimated separately for expansion and recession quarters (quarters overlapping an NBER recession). Quintiles are formed each quarter from total assets at $t-1$. Percentage-point change in each bank's equity capital to assets from the previous quarter.

Source: FDIC Statistics on Depository Institutions; author's calculations.